

June 1, 2026 05:23 PM GMT

Yageo Corp. | Asia Pacific

The market has moved, but the story is not finished – stay OW

WHAT'S CHANGED

Yageo Corp. (2327.TW)	From	To
Price Target	NT\$360.00	NT\$1,010.00

Yageo's stock has rallied 131% in one month, significantly outperforming the TAIEX (+12%) – but demand looks stronger and price increases are likely. We raise price target and stay OW.

Why has the stock rallied so much over the past month? There is fear that leading Japanese and Korean MLCC suppliers are shifting more capacity to cater to the high end, resulting in undersupply for the midrange/low end. The same narrative that drove the 2018 cycle is now back in play.

So what is happening?

- Utilization rates are increasing...
- ...so suppliers are expecting pricing to increase for the midrange/low end.
- Distributors and ODMs are both building inventory.

For detail, see [Here is what we are hearing from the supply chain](#).

Also, AI demand is growing and Tantalum capacitor pricing may show further price increases in 2H.

We are now 6% and 25% above the Street for CY27 and CY28 EPS estimates: See [Raising estimates for Yageo](#).

Monthly revenue shows signs of acceleration: See [Key catalyst](#).

Reiterate OW with raised price target of NT\$1,010: This reflects our higher earnings estimates for CY26-28 and our raised medium-term growth rate assumption of 16% (was 10%). Implied CY28e P/E is 31.7x, above the five-year range of 8x-18x, but PEG is only 0.9x. Pricing discussions are still taking place, but we bake in 15-20% price hikes in both CY27 and CY28 – and don't rule out higher pricing if shortage is exacerbated.

Downside risk lies in weaker AI or consumer demand with built-up inventory, causing pricing and utilization headwinds.

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Yageo Corp. (2327.TW, 2327 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$1,010.00
Up/downside to price target (%)	28
Shr price, close (Jun 1, 2026)	NT\$790.00
52-Week Range	NT\$811.00-111.75
Sh out, dil, curr (mn)	1,997
Mkt cap, curr (mn)	NT\$1,577,522
EV, curr (mn)	NT\$1,594,262
Avg daily trading value (mn)	NT\$10,752

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	11.51	17.88	23.59	31.87
Prior EPS (NT\$)**	11.51	16.64	19.13	20.87
EPS (NT\$)§	11.61	17.08	22.12	26.40
Revenue, net (NT\$ mn)	132,930	166,013	195,908	243,456
EBITDA (NT\$ mn)	39,635	54,405	68,769	90,165
ModelWare net inc (NT \$ mn)	23,634	36,719	48,437	65,444
P/E	20.1	44.2	33.5	24.8
P/BV	2.7	7.6	6.8	5.9
RNOA (%)	12.0	18.1	24.9	34.6
ROE (%)	14.5	21.1	22.7	27.4
EV/EBITDA	12.4	28.8	22.3	16.6
Div yld (%)	2.2	0.8	1.4	1.8
FCF yld ratio (%)**	6.6	2.6	3.2	4.2
Leverage (EOP) (%)	9.6	(13.3)	(24.2)	(34.9)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

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§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

Investment Thesis

What does the supply/demand balance look like? Mapping out supply and demand has always been very difficult for the MLCC market. Companies typically do not disclose their capacity data; even for companies that do, it is often disclosed in amount of units per month, or per year. However, there are different case sizes and layer counts for MLCC, which all need to be taken into account when trying to calculate supply. Similarly, this becomes a challenge when modeling demand as well. Thus, it is hard to build a bottom-up supply/demand model. That said...

Here is what we are hearing from the supply chain

- **Utilization rates are increasing...** Yageo attended our [Asia AI Summit last week](#), and mentioned that 2Q utilization for all standard and premium products is running higher than its guidance during the 1Q earnings call; currently standard products are running at 75%+ and premium at 85%+. According to Yahoo news today, Chairman Pierre Chen even mentioned at Yageo's recent AGM that utilization rates will reach 80%+ for standard products and 90%+ for premium, though he did not mention a specific time for when this will happen.
- **...so suppliers are expecting pricing increase for the midrange/low end:** Lead-times are also extending, and this gives suppliers better bargaining power with end customers to raise prices for the midrange/low end, where prices and profitability are not as good. As a result, we expect to see price increases for midrange/low-end MLCCs, though not yet to the extent of 2018, when distributor pricing increased ~10x. For the high end, it appears that most suppliers are still waiting to see if Murata raises prices and will only follow Murata. However, [according to Shoji Sato](#), Murata doesn't plan to raise prices for existing MLCC products.
- **Distributors and ODMs are both building inventory:** Our checks indicate that both distributors and ODMs are asking for more MLCC and buying as much as they can to build inventory. The distributors are scared of supply shortage, while the ODMs are trying to make sure that MLCC does not become the next bottleneck in the supply chain.

AI demand is growing

We estimate MLCC dollar content to rise ~182% for VR200 NVL72 vs. GB300 NVL72:

Based on our latest estimates, we estimate MLCC content for VR200 to be ~US\$4.3K. This would present a quite meaningful increase vs. GB300 at only ~US\$1.5K, and could explain why high-end AI server MLCC demand is currently so strong and causing all the ODMs to aggressively try to secure and build as much inventory as possible, ahead of the Rubin rack ramp from 2H26 onwards. Our checks indicate that the MLCC content per computing board and switch board is increasing quite meaningfully, with the computing board MLCC content showing a larger content increase. In addition, the newly introduced BlueField and ConnectX modules will also contribute to more MLCC content per rack.

Total MLCC unit demand is rising ~80% for a VR200 NVL72 rack vs a GB300 NVL72 rack: Based on our estimate, we think there is ~570K units of MLCCs within an entire

Rubin NVL72 rack, which is meaningfully higher than a GB300 NVL72 rack at ~320k units of MLCCs ([Exhibit 2](#)). This increase comes from increasing content per board for the computing board and switch board, but also increased PCB content, such as the CX9 Orchid Module. This increase in unit count is one of the main drivers behind the 182% increase in dollar content.

This means that a higher proportion of high-cap MLCCs is driving the other ~100% growth: We also see increasing demand for high-cap MLCCs (47uF+), where we see these high-cap MLCCs rising to 30%+ of the mix in entire Rubin system. This would mean a meaningful increase in demand vs. GB300 (<20%) – [Exhibit 3](#). Under our assumption, 47uF+ MLCC demand would rise quite dramatically, from a unit perspective. Our estimate would imply that 47uF+ MLCC demand would rise 210% for a VR200 rack vs. GB300, while 47uF and below MLCC content would rise at a lower magnitude of ~50%.

Stronger demand may cause a crowding out of capacity for suppliers that are geared more towards the high end: This meaningful increase in MLCC volume per rack, especially that of high-cap MLCCs, is exactly what distributors and ODMs fear: that this would cause a crowding out of capacity for the midrange/low-end. With that said, Yageo is relatively less levered to the high-cap/high-end MLCC market for AI servers, vs. its Japanese or Korean peers. However, Yageo still has good exposure in AI servers for MLCCs that are 22uF or below. In addition, Yageo also plays a crucial role in supplying tantalum capacitors into AI servers – it is currently the largest tantalum capacitor supplier globally. Tantalum revenue was ~22% in CY25 but we see that rising to ~25%+ in CY26-28. And in terms of profits, tantalum capacitors also carry very high margins, by our estimate (45%+ at least), and so we expect profit to rise from <30% of the mix in CY25 to 30% or higher in CY26-28.

For more analysis of our Rubin Rack BOM analysis, please see here: [Greater China Technology Hardware: Analysis of Rubin rack BOM, component content, and ODM value-added \(20 May 2026\)](#)

Exhibit 1: VR200 MLCC content is 180%+ higher compared to GB300

MLCC content per board (US\$)	GB300	VR200
Compute PCB	\$25	\$90
Switch PCB	\$20	\$45
BlueField DPU Module	\$5	\$5
ConnectX Orchid Module	\$5	\$5
Other peripheral PCB	\$5	\$5
Units per rack	GB300	VR200
Compute PCB	36x	36x
Switch PCB	9x	9x
BlueField DPU Module	0x	18x
ConnectX Orchid Module	0x	72x
Other peripheral PCB	90x	45x
Total MLCC Content per rack	GB300	VR200
Compute PCB	\$900	\$3,240
Switch PCB	\$180	\$405
BlueField DPU Module	\$0	\$90
ConnectX Orchid Module	\$0	\$360
Other peripheral PCB	\$450	\$225
Total MLCC Content per rack	\$1,530	\$4,320

Source: Morgan Stanley Research estimates.

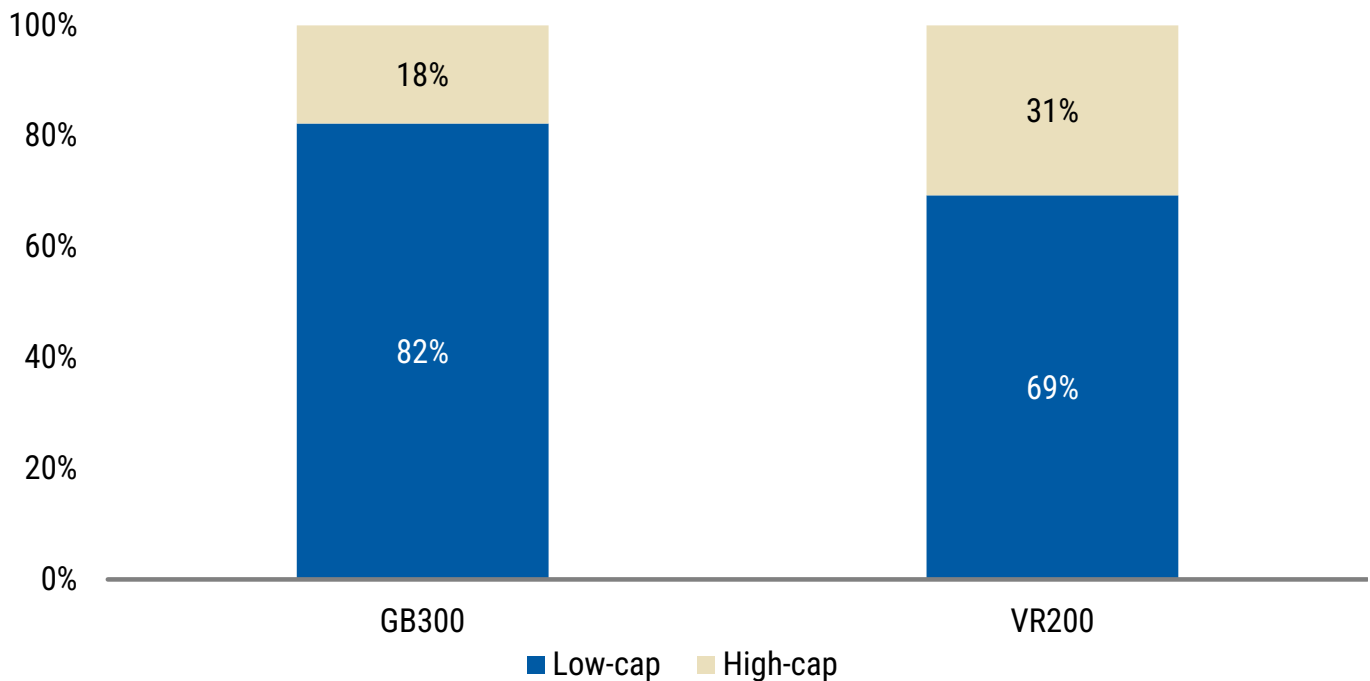
Exhibit 2: VR200 MLCC unit demand is rising to 570K+, up close to 80% vs a GB300 rack

Server Assumptions		# of MLCCs		US\$	
General server		2,000		30	
HGX Hopper AI server (8x GPU)		22,000		190	
GPU module (OAM)	8x	1,300	10,400	10	80
GPU baseboard (UBB)	1x	4,900	4,900	45	45
CPU motherboard	1x	1,500	1,500	25	25
Peripheral boards	8x	650	5,200	5	40
HGX B200 AI server (8x GPU)		36,000		317	
GPU module (OAM)	8x	3,000	24,000	24	192
GPU baseboard (UBB)	1x	5,300	5,300	60	60
CPU motherboard	1x	1,500	1,500	25	25
Peripheral boards	8x	650	5,200	5	40
HGX B300 AI server (8x GPU)		48,000		435	
GPU module (OAM)	8x	4,400	35,200	40	320
GPU baseboard (UBB)	1x	6,100	6,100	50	50
CPU motherboard	1x	1,500	1,500	25	25
Peripheral boards	8x	650	5,200	5	40
GB200 (NVL72)		337,500		1,710	
Bianca	36x	6,800	244,800	30	1,080
Switch board	9x	3,800	34,200	20	180
Peripheral boards	90x	650	58,500	5	450
GB300 (NVL72)		319,500		1,530	
Bianca	36x	6,300	226,800	25	900
Switch board	9x	3,800	34,200	20	180
Peripheral boards	90x	650	58,500	5	450
VR200 (NVL72)		571,050		4,320	
Strata	36x	11,000	396,000	90	3,240
Switch board	9x	7,000	63,000	45	405
BlueField Module	18x	2,000	36,000	5	90
CX9 Orchid Module	72x	650	46,800	5	360
Peripheral boards	45x	650	29,250	5	225

Source: Morgan Stanley Research estimates.

Exhibit 3: High-cap (47uF+) MLCC usage to increase to 30%+ in VR200 (vs <20% for GB300)

Nvidia's Rubin System Uses More High-Cap MLCCs

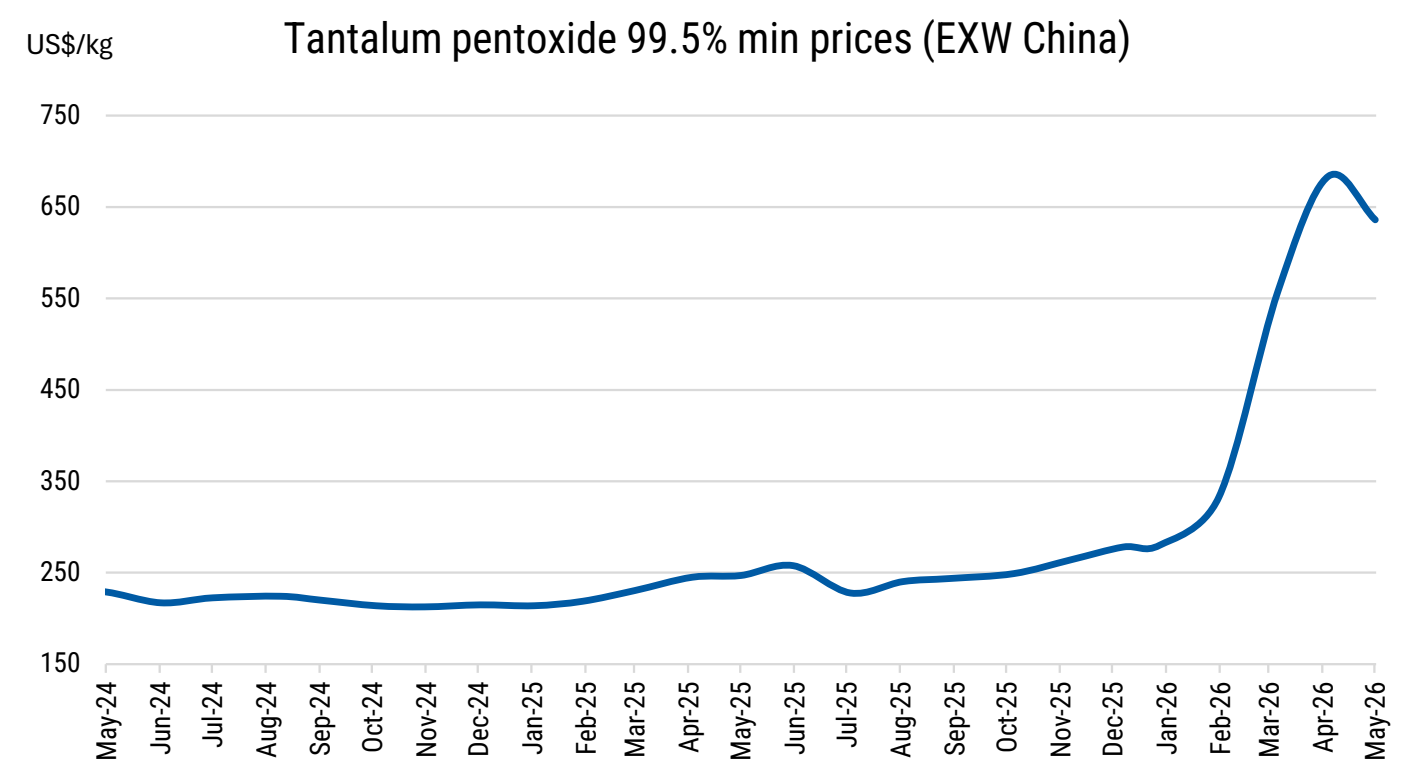


Source: Morgan Stanley Research estimates. Note: High-cap refers to 47uF+ MLCCs.

Tantalum capacitor pricing may show further price increases in 2H

[Exhibit 4](#) shows that the prices of tantalum pentoxide have been increasing since early 2025, and have risen even more sharply since early 2026. In response, Yageo has been taking corresponding pricing actions to reflect the inflationary raw material costs as well – it has announced pricing adjustments for its tantalum products at least three times since April 2025, based on our supply chain checks. With tantalum pentoxide pricing having risen 100%+ since late 2025, we believe Yageo is highly likely to implement another round of price adjustments for its tantalum products in the near term, which should further improve its profitability.

Exhibit 4: Tantalum pentoxide prices are also on the rise



Source: Scrap Monster, Morgan Stanley Research.

Raising estimates for Yageo

2Q tracking ahead of guidance: As mentioned above, utilization rate is tracking above its previous guidance given during its [1Q earnings call](#). Hence, we raise our 2Q revenue forecast 5%, to NT\$41.9bn (+10% q/q) - 2% above the Street, with GM of 39.0% (+90bps q/q) and OpM of 26.8% (+160bps q/q) for EPS of NT\$4.21 – 1% above the Street.

We update our model to reflect the potential for, continued price hikes, primarily for tantalum capacitors and MLCCs, driven by AI demand. Our 2026-28 EPS estimates increase 7%, 23%, and 53%, respectively, driven by higher assumptions for both revenues and margins.

Exhibit 5: Estimate Changes

NT\$ mn	2026e Earnings Estimates			2027e Earnings Estimates			2028e Earnings Estimates		
	New	Old	Variance	New	Old	Variance	New	Old	Variance
Net sales	166,013	158,893	4%	195,908	170,289	15%	243,456	177,514	37%
COGS	-100,857	-97,007	4%	-114,955	-101,670	13%	-138,845	-104,131	33%
Gross profit	65,155	61,886	5%	80,953	68,619	18%	104,610	73,383	43%
Operating expenses	-20,220	-20,078	1%	-21,356	-20,619	4%	-23,347	-21,190	10%
Operating income	44,935	41,808	7%	59,597	48,000	24%	81,263	52,193	56%
Non-operating income	2,949	2,851	3%	3,425	3,314	3%	3,844	3,751	2%
Pre-tax income	47,884	44,659	7%	63,022	51,314	23%	85,107	55,944	52%
Income tax	-11,018	-10,258	7%	-14,439	-11,791	22%	-19,517	-12,854	52%
Net income	36,719	34,161	7%	48,437	39,282	23%	65,444	42,850	53%
EPS (NT\$)	17.88	16.64	7%	23.59	19.13	23%	31.87	20.87	53%
Margins (%)			ppt			ppt			ppt
Gross margin	39.2%	38.9%	0.3	41.3%	39.5%	1.8	43.0%	41.3%	1.6
Operating margin	27.1%	26.3%	0.8	30.4%	27.0%	3.5	33.4%	29.4%	4.0
Pre-tax margin	28.8%	28.1%	0.7	32.2%	29.0%	3.2	35.0%	31.5%	3.4
Net margin	22.1%	21.5%	0.6	24.7%	22.2%	2.6	26.9%	24.1%	2.7

Source: Morgan Stanley Research (e) estimates.

We are now 6% and 25% above the Street for CY27 and CY28 EPS estimates: With our latest assumptions, we are now above consensus for CY26-28 EPS estimates, but for CY26 we are only 2% above consensus – whereas we are well above consensus for CY27-28. We bake in 15-20% pricing increases in CY27/28, which drives our higher margin assumptions.

Exhibit 6: We are 6% and 25% above the Street for CY27 and CY28 EPS estimates

Yageo	MSe			Consensus			Variance		
	2026	2027	2028	2026	2027	2028	2026	2027	2028
Revenue	166,013	195,908	243,456	170,188	201,459	226,145	-2%	-3%	8%
GM	39.2%	41.3%	43.0%	39.0%	40.3%	40.7%	0.2%	1.0%	2.2%
OpM	27.1%	30.4%	33.4%	26.3%	28.2%	28.7%	0.8%	2.2%	4.7%
Net income	36,719	48,437	65,444	36,146	45,600	52,177	2%	6%	25%
EPS	17.88	23.59	31.87	17.60	22.21	25.41	2%	6%	25%

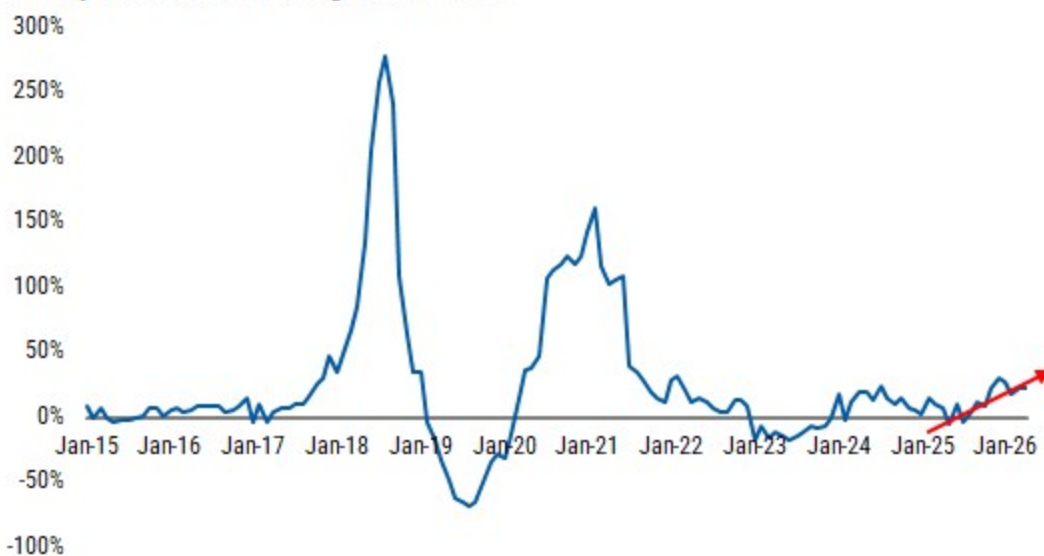
Source: Visible Alpha, Morgan Stanley Research estimates.

Key catalyst

Monthly revenue shows signs of acceleration: This is always something the market tends to focus on when trading MLCC stocks, and we are starting to see signs of acceleration at Yageo. With demand continuing to see improvement and if pricing adjustments happens in 2H, we expect to see further acceleration of monthly revenue, and this would be positive for the stock. We have observed this consistent relationship over the past decade, and we don't think this time will be any different.

Exhibit 7: Yageo's monthly sales y/y are starting to show signs of acceleration

Monthly Sales Y/Y Is Starting to Accelerate



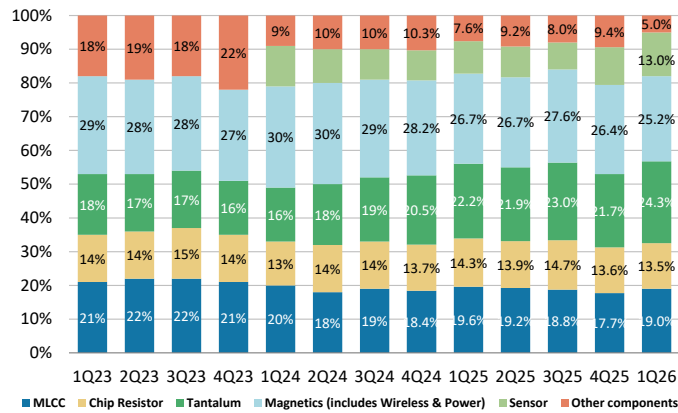
Source: TEJ, Morgan Stanley Research.

Where there could be risks

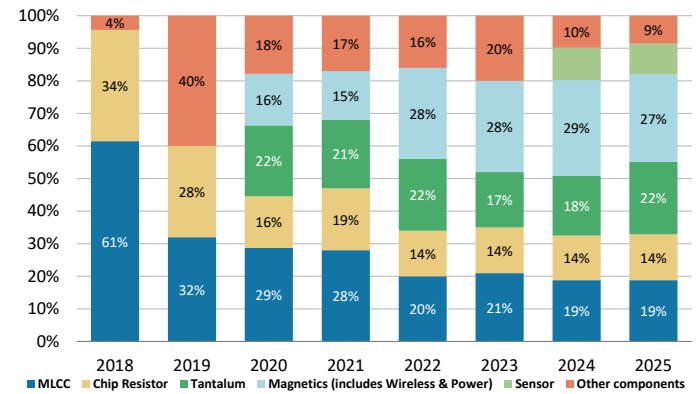
The obvious risk is a sudden bursting of demand for AI. However, the likelihood of this happening is relatively low, considering what we know today around increasing GPU rental prices, real use cases for AI, etc. Nonetheless, this would be the most obvious risk, but it also would affect almost all the companies in the supply chain, and not just MLCC players.

That said, other areas we are monitoring are inventory risk and consumer electronics demand risk, particularly in 2H26-1H27. At our [Asia AI Summit](#), Yageo mentioned that distributor inventory remains healthy at <5 months (vs. slightly above 5 months in 1Q). However, since inventory level is based on the current end demand, a meaningfully lower end demand environment would imply that the same amount of MLCC inventory for distributors would take much longer to clear out. In that scenario, pricing pressure would likely follow shortly after.

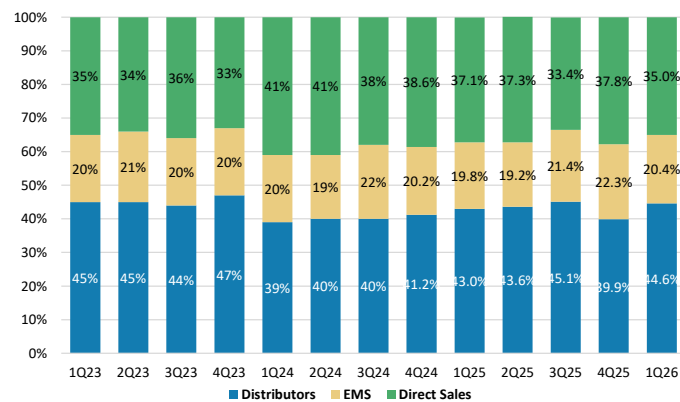
Charts

Exhibit 8: Quarterly Sales, by Product, 1Q23-1Q26


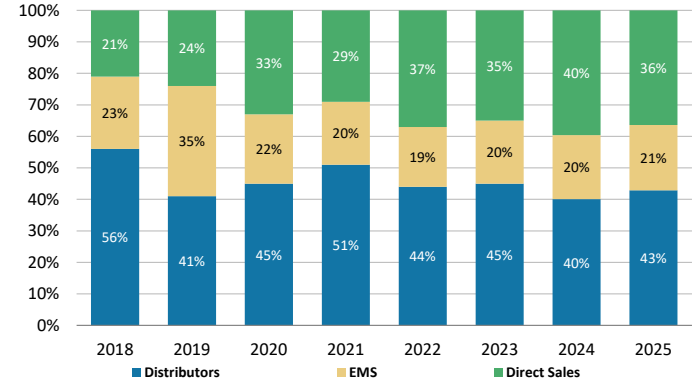
Source: Company data, Morgan Stanley Research

Exhibit 9: Annual Sales, by Product, 2018-25


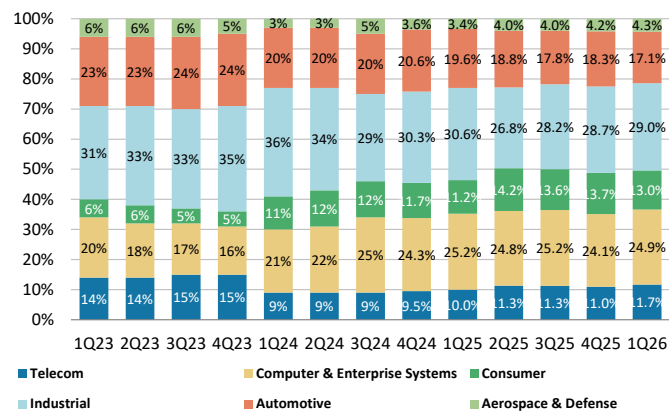
Source: Company data, Morgan Stanley Research

Exhibit 10: Quarterly Sales, by Channel, 1Q23-1Q26


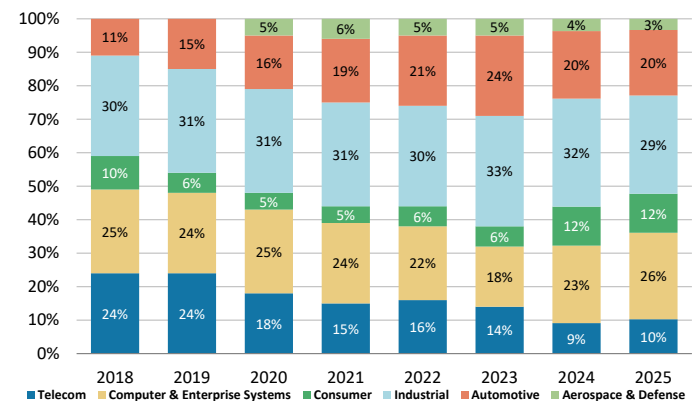
Source: Company data, Morgan Stanley Research

Exhibit 11: Annual Sales, by Channel, 2018-25


Source: Company data, Morgan Stanley Research

Exhibit 12: Quarterly Sales, by Segment, 1Q23-1Q26


Source: Company data, Morgan Stanley Research

Exhibit 13: Annual Sales, by Segment, 2018-25


Source: Company data, Morgan Stanley Research

Price target discussion and valuation methodology

We raise our 12-month price target to NT\$1,010 (from NT\$360): This reflects our higher earnings estimates for CY26-28 and our raised medium-term growth rate assumption. Our price target is our base case value, derived from our residual income valuation model. Similar to our analysis of other tech hardware companies within our coverage, we think this methodology provides the most accurate value of the firm by taking into account the cost of equity.

Our key assumptions are:

- Cost of equity of 7.8%:
 - Risk-free rate of 1.0% (10-year Taiwanese government bond yield);
 - Equity risk premium of 6.8%;
 - Beta of 1.1;
- Medium-term growth rate of 16% (raised from 10%);
- Terminal growth rate of 3%.

Our price target implies 42.8x 2027e P/E and 31.7x 2028e P/E. These are above its five-year historical range of 8x to 18x, which we view as justified considering its longer-term transformation story to become a global total solutions provider, moving from passive into active components. In addition, compared to its global passive component peers, we believe Yageo stock remains undervalued with higher ROE and margins, but lower P/E vs. Japanese peers (which trade on an average at 25x+ P/E).

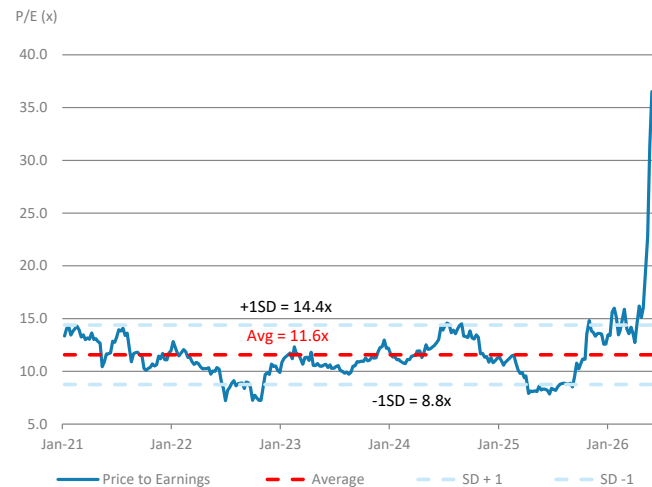
Our bull and bear case scenario values increase by magnitudes similar to the change to our base case value, to NT\$1,530 and NT\$505, respectively.

Exhibit 14: Residual Income (RI) Model

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Total Equity	213,151	238,810	274,407	304,923	340,322	381,385	429,017	484,271	548,366	622,716	684,917
Net Profit	36,719	48,437	65,444	75,914	88,061	102,151	118,495	137,454	159,446	184,958	190,506
Return on Equity	19.0%	21.4%	25.5%	26.2%	27.3%	28.3%	29.2%	30.1%	30.9%	31.6%	29.1%
Beta	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Equity Risk Premium (Rm-Rf)	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%	6.8%
Risk Free Rate (Rf)	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%	1.0%
Cost of Equity	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%	7.8%
Residual Income	19,503	29,146	42,373	50,622	59,568	69,930	81,934	95,846	111,970	130,662	133,122
Spread	11.2%	13.7%	17.7%	18.4%	19.5%	20.5%	21.5%	22.3%	23.1%	23.8%	21.4%
Beginning Equity Capital	213,151										
PV of Forecast Period	496,735										
PV of Continuing Value	1,364,280										
Equity Value	2,074,166										
No. of Shares	2,054										
Projected Price	1,010.0										
Implied 2027e PE	42.8x										
Implied 2028e PE	31.7x										

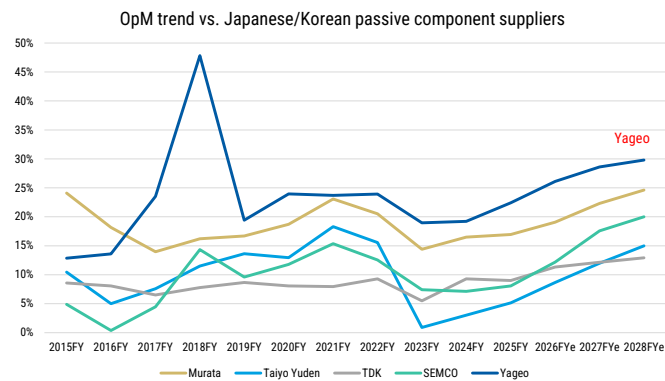
Source: Morgan Stanley Research (E) estimates.

Exhibit 15: Yageo P/E



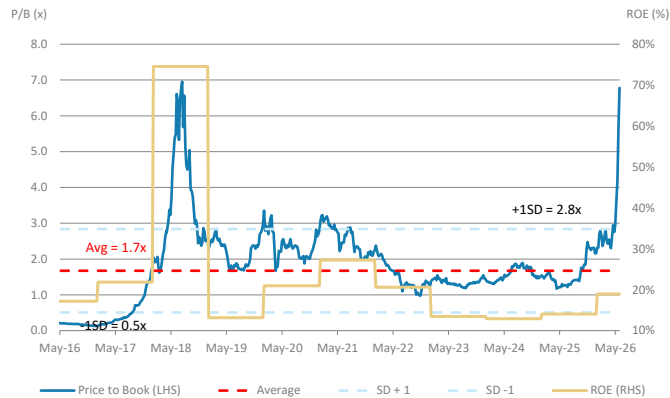
Source: TEJ, Morgan Stanley Research.

Exhibit 17: MLCC peers operating margins



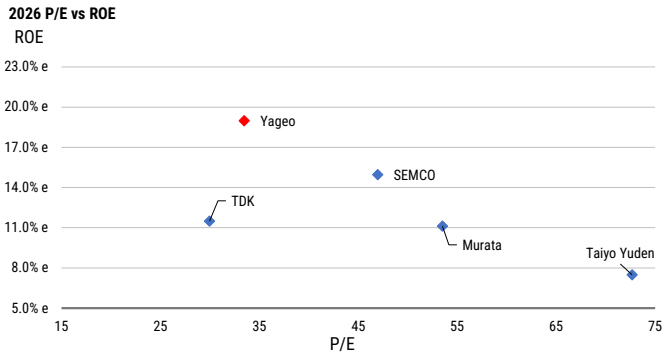
Source: Visible Alpha.

Exhibit 16: Yageo P/B



Source: TEJ, Morgan Stanley Research.

Exhibit 18: 2026e P/E vs. ROE



Source: Morgan Stanley Research estimates.

Risk Reward – Yageo Corp. (2327.TW)

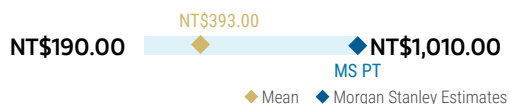
Demand looks stronger and price increases are likely - stay OW

PRICE TARGET NT\$1,010.00

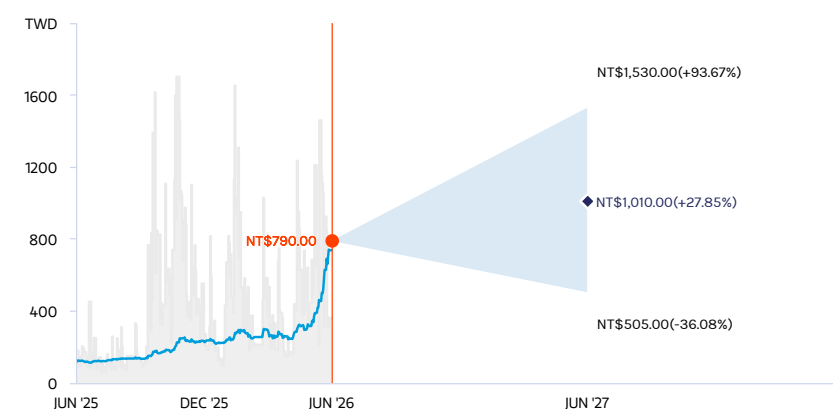
Base case, multistage residual income valuation model. Key assumptions: cost of equity 7.8% (risk-free rate 1%, equity risk premium 6.8% and beta of 1.1), medium-term growth rate 16%, terminal growth rate 3%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



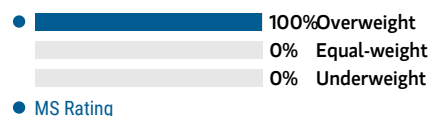
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- There is fear that leading Japanese and Korean MLCC suppliers are shifting more capacity to cater to the high end, resulting in undersupply for the midrange/low end.
- The same narrative that drove the 2018 cycle is now back in play.
- Utilization rates are increasing, so suppliers are expecting price hikes for the midrange/low end. Distributors and ODMs are both building inventory.
- AI demand is growing and tantalum capacitor pricing may show further price increases in 2H.
- All of this should help support further re-rating in the stock, even beyond the recent sharp rally.
- Our revised price target implies P/E of >40x for 2027e and >30x for 2028e, above its five-year historical trading range.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles:	Positive
Self-help:	Positive
Special Situation:	Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$1,530.00

64.9x 2027e EPS

Demand continued to grow faster than expected in 2027-28: 1) Demand improves significantly, driving pricing power to Yageo for premium and standard products alike. 2) Yageo makes meaningful progress into AI, driving significant share gains. 3) Yageo takes on more acquisition initiatives to further widen its product portfolio. 4) Severe undersupply leads to continued price hikes for an extended period of time, which helps expand Yageo's margins in 2027-28.

BASE CASE

NT\$1,010.00

42.8x 2027e EPS

Demand remains strong into 2027-28: 1) Utilization remains high for premium products. 2) Utilization for standard products stabilizes at 70%+ with resilient consumer tech demand. 3) Transformation and synergies are ongoing with continued active initiatives. 4) Yageo continues to drive expansion into the AI realm and slowly gains market share. 5) High utilization rates and inflationary raw materials costs result in continued price hikes.

BEAR CASE

NT\$505.00

21.4x 2027e EPS

Earnings erode as macro conditions weaken and demand falls off again in 2027-28: 1) Non-AI demand weakens from 2H26 onwards, despite AI demand remaining strong. 2) Pricing power shifts to end customers with heightened competition amongst peers. 3) Acquisitions do not bear fruit, resulting in layoffs and leading to cost burdens. 4) Automotive and industrial end demand does not recover, hampering Yageo's premium business. 5) Yageo does not make any material advancements into AI.

Risk Reward – Yageo Corp. (2327.TW)

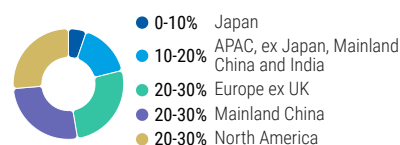
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
MLCC ASP y/y (%)	0.6	5.6	11.4	17.8
MLCC GM (%)	31.7	32.1	34.8	37.5
r-chip ASP y/y (%)	0.8	7.5	11.5	17.9
r-chip GM (%)	43.4	43.7	46.3	48.8

INVESTMENT DRIVERS

- Transformation into global total solutions service provider
- Premium/standard sales mix
- Utilization rates and capacity
- Inventory and pricing

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST 3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected revenue/profit recognition from stronger AI server/notebook demand
- Further price hikes led by stronger pricing power arising from better demand and/or tighter supply

RISKS TO DOWNSIDE

- Aa sudden bursting of demand for AI
- Inventory risk
- Consumer electronics demand risk

OWNERSHIP POSITIONING

Inst. Owners, % Active 59.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (NT\$, mn) 170,289 195,908 230,448
199,742

EBITDA (NT\$, mn) 56,618 68,769 76,182
66,328

Net income (NT\$, mn) 39,282 48,437 53,344
45,525

EPS (NT\$) 18.97 23.59 25.98
22.12

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financials

Exhibit 19: Quarterly Estimates

	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	2025	2026E	2027E	2028E
Net sales	31,104	32,771	33,087	35,968	38,166	41,935	42,963	42,949	132,930	166,013	195,908	243,456
COGS	(20,018)	(21,119)	(21,112)	(22,551)	(23,624)	(25,584)	(25,948)	(25,701)	(84,800)	(100,857)	(114,955)	(138,845)
Gross profit	11,086	11,652	11,974	13,417	14,542	16,351	17,015	17,247	48,130	65,155	80,953	104,610
Operating expenses	(4,623)	(4,609)	(4,412)	(4,685)	(4,929)	(5,103)	(5,069)	(5,119)	(18,329)	(20,220)	(21,356)	(23,347)
SG&A	(3,758)	(3,774)	(3,578)	(3,800)	(4,035)	(4,173)	(4,130)	(4,171)	(14,910)	(16,509)	(17,369)	(19,052)
R&D	(865)	(834)	(834)	(886)	(894)	(930)	(939)	(948)	(3,419)	(3,711)	(3,987)	(4,295)
Operating income	6,463	7,044	7,562	8,732	9,613	11,249	11,945	12,128	29,801	44,935	59,597	81,263
Non-operating income	710	(15)	650	(26)	712	700	749	788	1,319	2,949	3,425	3,844
Interest income	533	443	379	216	303	337	369	400	1,571	1,409	1,878	2,260
Investment income	117	24	144	195	181	163	179	188	480	711	747	784
Disposal of investment	100	0	0	0	7	0	0	0	100	7	0	0
Exchange gain	(148)	194	(110)	(677)	(139)	0	0	0	(742)	(139)	0	0
Other	108	(676)	237	241	359	200	200	200	(90)	959	800	800
Pre-tax income	7,173	7,028	8,212	8,706	10,325	11,949	12,694	12,917	31,120	47,884	63,022	85,107
Income tax	(1,610)	(2,016)	(1,817)	(1,900)	(2,287)	(3,226)	(2,793)	(2,712)	(7,343)	(11,018)	(14,439)	(19,517)
Minority interest	33	14	39	56	37	37	37	37	143	147	147	147
Net income	5,530	4,998	6,356	6,751	8,001	8,686	9,865	10,167	23,634	36,719	48,437	65,444
Adj. wtd. avg. shrs (mn)	2,053	2,053	2,054	2,053	2,054	2,054	2,054	2,054	2,053	2,054	2,054	2,054
EPS	2.69	2.43	3.10	3.29	3.90	4.23	4.80	4.95	11.51	17.88	23.59	31.87
Fully Diluted shares (mn)	2,459	2,456	2,055	2,053	2,054	2,054	2,054	2,054	2,053	2,054	2,054	2,054
Diluted EPS (NT\$)	2.25	2.03	3.09	3.29	3.90	4.23	4.80	4.95	11.51	17.88	23.59	31.87
Margins (%)												
Gross Margin	35.6	35.6	36.2	37.3	38.1	39.0	39.6	40.2	36.2	39.2	41.3	43.0
Operating Margin	20.8	21.5	22.9	24.3	25.2	26.8	27.8	28.2	22.4	27.1	30.4	33.4
Pretax Margin	23.1	21.4	24.8	24.2	27.1	28.5	29.5	30.1	23.4	28.8	32.2	35.0
Net Margin	17.8	15.3	19.2	18.8	21.0	20.7	23.0	23.7	17.8	22.1	24.7	26.9
QoQ Growth (%)												
Sales	4	5	1	9	6	10	2	0				
Gross Profit	11	5	3	12	8	12	4	1				
Operating Profit	20	9	7	15	10	17	6	2				
Pretax Profit	15	-2	17	6	19	16	6	2				
Net Profit	49	-10	27	6	19	9	14	3				
YoY Growth (%)												
Sales	9	4	4	20	23	28	30	19	9	25	18	24
Gross Profit	15	6	7	35	31	40	42	29	15	35	24	29
Operating Profit	31	9	14	63	49	60	58	39	27	51	33	36
Pretax Profit	18	-5	15	39	44	70	55	48	16	54	32	35
Net Profit	21	-8	13	82	45	74	55	51	22	55	32	35

Source: Company data, Morgan Stanley Research (E) estimates.

Exhibit 20: Consolidated Financial Summary**Consolidated Income Statement**

NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E
Net sales	132,930	166,013	195,908	243,456
COGS	(84,800)	(100,857)	(114,955)	(138,845)
Gross profit	48,130	65,155	80,953	104,610
Operating expenses	(18,329)	(20,220)	(21,356)	(23,347)
Operating income	29,801	44,935	59,597	81,263
Non-operating income	1,319	2,949	3,425	3,844
Interest income	1,571	1,409	1,878	2,260
Investment income	480	711	747	784
Disposal of investment	100	7	-	-
Exchange gain	(742)	(139)	-	-
Other	(90)	959	800	800
Pre-tax income	31,120	47,884	63,022	85,107
Income tax	(7,343)	(11,018)	(14,439)	(19,517)
Minority interests	143	147	147	147
Net income	23,634	36,719	48,437	65,444
Adj. wtd. Avg. shrs (m)	2,053	2,054	2,054	2,054
Reported EPS (NT\$)	11.51	17.88	23.59	31.87
Diluted shrs (m)	2,053	2,054	2,054	2,054
Diluted EPS (NT\$)	11.51	17.88	23.59	31.87

Consolidated Balance Sheet

NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E
Cash	81,473	125,618	153,946	190,995
Mkt securities	16,634	16,634	16,634	16,634
AR/NR	27,792	30,985	36,242	47,430
Inventory	31,636	37,762	42,434	50,084
Others	7,811	9,755	11,511	14,305
Current Assets	165,346	220,755	260,768	319,449
Long-term investments	45,572	45,572	45,572	45,572
Fixed assets	65,305	63,251	61,389	59,630
Other assets	114,566	114,566	114,566	114,566
Total Assets	390,789	444,144	482,296	539,218
S/T borrowings	86,196	86,196	86,196	86,196
AP/NP	18,031	21,446	24,443	29,523
Other ST liabilities	31,852	37,883	43,178	52,151
Total Current Liabilities	136,079	145,525	153,818	167,871
L/T debt	57,589	56,589	55,589	54,589
Other LT liabilities	23,124	28,880	34,080	42,351
Total Liabilities	216,793	230,993	243,487	264,811
Common shares	5,182	20,519	20,519	20,519
Retained Earnings	104,669	128,487	154,145	189,742
Other SH' Equity	64,145	64,145	64,145	64,145
Total Shareholders' Equity	173,997	213,151	238,810	274,407
Total Liab./SH's Equity	390,789	444,144	482,296	539,218

Consolidated Cash Flow Statement

NT\$mnn (Year End Dec 31)	2025	2026E	2027E	2028E
Operating Cashflow	30,863	43,651	53,469	65,982
Net Profits	23,634	36,719	48,437	65,444
Depreciation & Amort.	9,834	9,469	9,171	8,901
Investment losses/(income)	(581)	(711)	(747)	(784)
Working capital change	(12,663)	125	(1,636)	(4,785)
Other adjustments	10,944	(1,944)	(1,757)	(2,794)
Investing Cashflow	(3,725)	(7,415)	(7,310)	(7,143)
Capex	(6,056)	(8,000)	(8,000)	(8,000)
Change of L/T investment	(4,146)	0	0	0
Change of S/T investment	817	0	0	0
Other adjustments	5,191	0	0	0
Financing Cashflow	(3,135)	7,770	(17,831)	(21,791)
Increase in L/T debt	(543)	(1,000)	(1,000)	(1,000)
Increase in S/T debt	7,613	0	0	0
Issuance of stock	0	15,337	0	0
Cash dividends	(10,265)	(12,321)	(22,031)	(29,062)
Other adjustments	61	5,755	5,201	8,271
FX adjustment	(3,647)	139	0	0
Net change in cash	20,356	44,145	28,328	37,049

Consolidated Financial Ratios

	2025	2026E	2027E	2028E
Margins (%)				
Gross margin	36.2	39.2	41.3	43.0
Operating margin	22.4	27.1	30.4	33.4
Pretax margin	23.4	28.8	32.2	35.0
Net margin	17.8	22.1	24.7	26.9
YoY growth (%)				
Sales	9.3	24.9	18.0	24.3
Operating profits	27.4	50.8	32.6	36.4
Pretax profits	15.8	53.9	31.6	35.0
Net profits	22.1	55.4	31.9	35.1
Others				
Cash dividend payout (%)	52%	60%	60%	60%
Cash div (NT\$)	6.00	10.73	14.15	19.12
Yield (%)	1%	1%	2%	2%
Net Debt/Equity (%)	26%	0%	-12%	-24%
Liabilities/Equity (%)	125%	108%	102%	97%
Liabilities/Assets (%)	55%	52%	50%	49%
ROAE (%)	14%	19%	21%	26%
ROAA (%)	6%	9%	10%	13%
AR/NR Turnover (days)	68	65	63	63
Inventory Turnover (days)	128	126	127	122
AP/NP Turnover (days)	71	71	73	71
Cash conversion cycle	125	119	117	113

Source: Company data, Morgan Stanley Research (E) estimates.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

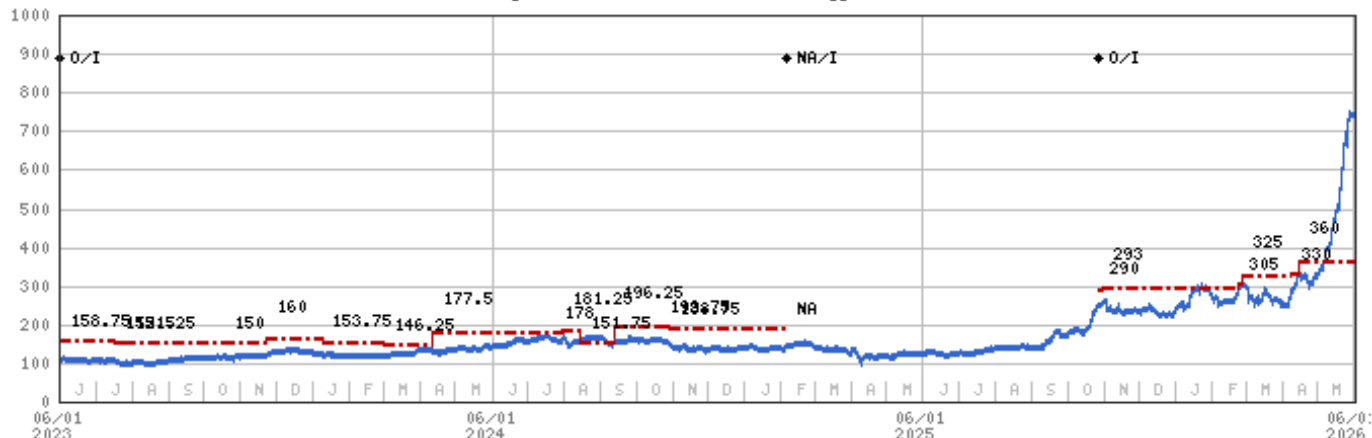
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Yageo Corp. (2327.TW) - As of 06/01/26 GMT in TWD
Industry : Greater China Technology Hardware



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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/01/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$46.20
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb204.30
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$29.44
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb8.17
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.85
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb679.82
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$603.00
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb5.39
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb30.06
Largan Precision (3008.TW)	E (10/17/2025)	NT\$3,835.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb9.52
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb9.50
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$10.24
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb53.40
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$43.70
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb62.00
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$82.85
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb428.88
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb21.70
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$28.72
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb371.58
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	E (04/20/2023)	HK\$210.20
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb125.82
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb36.53
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb1,130.00
ZTE Corporation (0763.HK)	E (03/11/2024)	HK\$26.08

ZTE Corporation (000063.SZ)	U (07/02/2021)	Rmb35.10
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,510.00
Advantech (2395.TW)	O (01/20/2021)	NT\$517.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,350.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$23.80
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,120.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.36
Chenbro (8210.TW)	O (07/23/2025)	NT\$1,400.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,580.00
E Ink Holdings Inc. (8069.TWO)	O (05/11/2026)	NT\$225.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$71.60
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$387.50
Innolux (3481.TW)	E (04/07/2025)	NT\$56.10
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$5,215.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb41.83
Radiant Opto-Electronics Corporation (6176.TW)	E (03/01/2024)	NT\$105.00
Sanan Optoelectronics (600703.SS)	U (08/21/2023)	Rmb15.16
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.40
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb7.80
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb184.23
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$38.70
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$837.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$40.35
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$9.05
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$387.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,325.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb64.14
Lenovo (0992.HK)	E (11/16/2025)	HK\$25.24
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$2,675.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$905.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$91.20
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$372.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb135.63
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb380.00
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,050.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$174.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$5,515.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$790.00
Zhen Ding (4958.TW)	O (05/18/2026)	NT\$548.00
Sharon Shih		
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,785.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,145.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$223.50
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$2,420.00
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,120.00
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb73.75
Foxconn Technology (2354.TW)	U (04/23/2025)	NT\$62.80
GoerTek Inc (002241.SZ)	U (04/23/2025)	Rmb26.50
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$293.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,685.00
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb14.97
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$234.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb70.71

Sunonwealth Electric Machine Industry Co (2421.TW)	E (02/23/2024)	NT\$165.00
Tong Hsing (6271.TW)	E (03/18/2019)	NT\$247.50
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$415.50

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